

ADOBE INC.

(NASDAQ: ADBE)

Priced as an AI Loser; It Sells the Workflow That AI Runs On

BUY — \$465.00 Target

Equity Research Note · Technology — Application Software · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$465.00	\$237.69	+95.6%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$92.5 bn (389 mn sh × \$237.69)	Balance sheet	Net cash; aggressive buybacks
52-week range	~\$190.12 – \$363.70	Core segments	Digital Media, Document Cloud, Experience Cloud
Subscription revenue	~97% of total	AI monetization	Firefly credits + AI-priced tiers
Gross margin	High 80s	Base discount rate	10% — stable subscription franchise
FCF margin	~40% of revenue	Next catalyst	Digital Media net new ARR reacceleration

1 Investment Thesis

Adobe is being priced as an AI loser, and our judgment is that this is wrong. The market's fear is straightforward: generative AI commoditizes content creation, eroding the need for Creative Cloud subscriptions. Our view is that this misunderstands both what Adobe sells and how creative work actually gets done. Adobe does not sell the ability to make an image; it sells the professional workflow in which images are made, revised, versioned, rights-managed, and published across teams and enterprises. Generative AI makes more content get made, not less — and every additional asset created inside an enterprise still needs to flow through editing, collaboration, digital asset management, and publishing pipelines where Adobe is the system of record. AI is a demand accelerant for Adobe's workflow products disguised as a threat to its tools.

The financial profile is what makes this a BUY rather than an interesting debate. Roughly 97% of revenue is subscription-based, gross margins sit in the high 80s, and free-cash-flow margins are among the best in large-cap software — this is a cash-compounding machine with net revenue retention that reflects genuine enterprise entrenchment, not contract lock-in. At \$237.69 the shares trade at a multiple that implies structural decline; we model durable double-digit earnings compounding driven by seat expansion in Document Cloud, ARPU expansion from AI-priced tiers in Creative Cloud, and the continued scaling of Experience Cloud into the enterprise marketing stack. Our \$465.00 target implies +96% upside and requires only that Adobe remain what it observably is — the workflow standard — rather than becoming something new.

We have a specific view on AI monetization that differs from consensus. Skeptics note that Adobe's Firefly generative credits are modestly priced and that competition from Figma, Canva, and frontier AI labs is intense. We agree on the competitive intensity and we haircut management's AI-revenue commentary accordingly. But we judge that Adobe's distribution — hundreds of millions of users, deep enterprise relationships, and a trusted brand on commercial safety and IP indemnification — is the durable advantage in an AI world where enterprises are terrified of copyright liability and data leakage. Firefly's training on licensed and public-domain content, with IP indemnification for enterprise customers, is not a footnote; for risk-averse enterprises it is the reason to standardize on Adobe rather than on a

frontier model with unclear provenance.

The forward risk we take seriously is at the edges, not the core: AI-native video or design studios built entirely on new stacks, in net-new creative workflows that never touch Adobe. We model modest share leakage at the edges rather than core displacement — and we underwrite only the AI revenue we can tie to observable pricing actions, not to management's blended AI-attributed figures. The base case assumes exactly the continuation of the observable business: no heroics, just the compounding of a subscription franchise with 97% recurring revenue and best-in-class margins.

Why the market will care (eventually)

- **More content means more Adobe, not less.** Every AI-generated asset still needs editing, versioning, rights management, and publishing — the pipeline where Adobe is the system of record. Generative AI expands the top of Adobe's funnel.
- **IP indemnification is the enterprise moat in AI.** Firefly is trained on licensed and public-domain content with enterprise IP indemnification. For risk-averse enterprises, copyright safety is the purchasing criterion — and Adobe is the only scaled vendor that offers it.
- **Document Cloud is the overlooked compounder.** PDF workflows are deeply embedded in enterprise processes, AI Assistant adds conversational document understanding, and seat expansion in knowledge-work enterprises continues — the steadiest growth in the portfolio.

2 Business Overview — What Adobe Is Doing

(San Jose, California; CEO Shantanu Narayen)

Adobe Inc., led by CEO Shantanu Narayen, operates three segments. Digital Media — Creative Cloud (Photoshop, Illustrator, Premiere Pro, and dozens of professional tools) and Document Cloud (Acrobat, PDF services) — is the core profit engine, sold overwhelmingly by subscription. Digital Experience (Experience Cloud) provides marketing, analytics, content management, and commerce software to enterprises. A small publishing segment rounds out the business. Approximately 97% of total revenue is subscription-based, producing the predictability and cash conversion — free cash flow routinely around 40% of revenue — that define the investment profile.

Adobe's moat is workflow entrenchment compounded by network effects in creative talent: professionals learn Adobe tools, employers hire for Adobe skills, files and collaboration live in Adobe formats and clouds, and switching costs rise with team size. The company has layered generative AI across the portfolio — Firefly image and video generation, AI Assistant in Acrobat, generative features in Photoshop and Express, and GenStudio for enterprise content supply chains — monetized through credit-based add-ons and AI-priced tiers. Competition spans Figma and Canva in design, point AI tools from startups and frontier labs, and Microsoft and Salesforce in the experience layer.

Segment	FY2024 revenue (~)	Share (~)	What it does
Digital Media	\$15.9 bn	~74%	Creative Cloud + Document Cloud subscriptions
Digital Experience	\$5.4 bn	~25%	Experience Cloud marketing stack
Publishing	\$0.3 bn	~1%	Legacy publishing products

Approximate splits of FY2024 revenue (\$21.5 bn).

What the company is doing now

- **Creative Cloud: ARPU expansion via AI tiers.** Generative workflows measurably raise output per creative professional — the oldest justification for a price increase in software — and AI features are moving into higher-priced tiers.
- **Document Cloud: the quiet compounder.** Acrobat and PDF services embedded in enterprise processes; AI Assistant adds conversational document understanding to the most entrenched seat base in software.
- **Experience Cloud: high incremental margins.** Grows more slowly, but the enterprise marketing stack consolidates around fewer vendors — and Adobe is one of them.

3 Financial Analysis

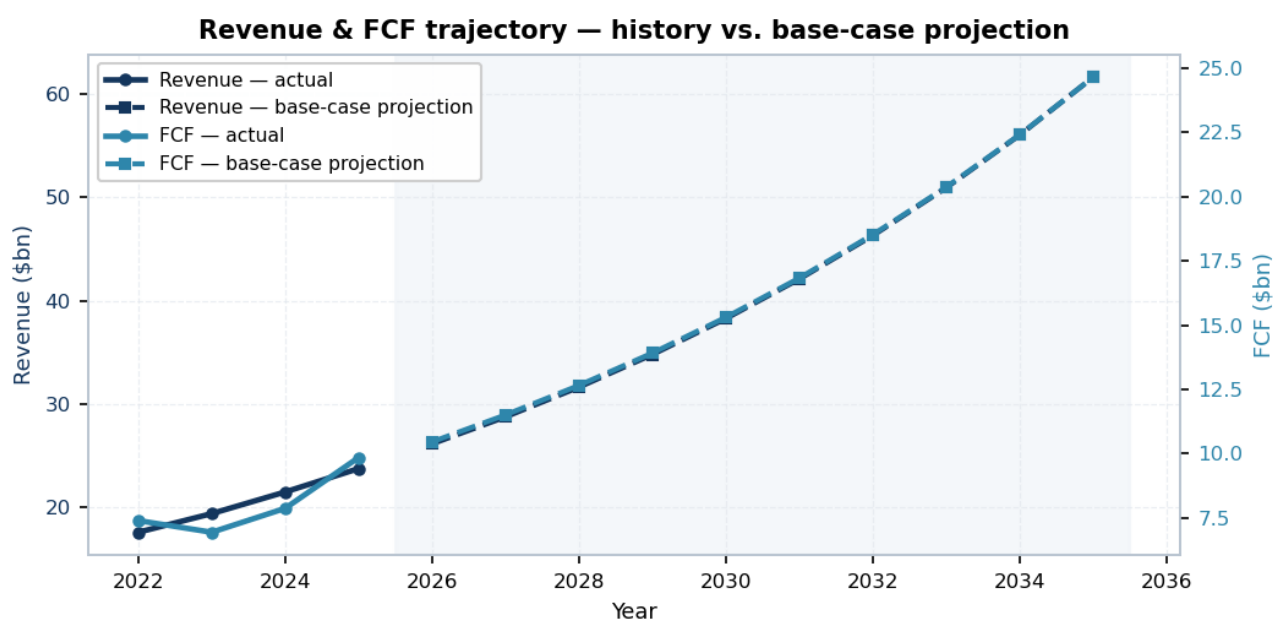
\$ bn	2022	2023	2024	2025
Revenue	17.61	19.41	21.51	23.77
Free cash flow	7.40	6.94	7.87	9.85
FCF margin	42%	36%	37%	41%

Company filings via Yahoo Finance; FCF = operating cash flow less capex.

Revenue has compounded from \$17.6B in 2022 to \$23.8B in 2025 — a ~10.5% CAGR through the AI disruption debate — with free cash flow of \$9.9B in 2025 at a ~41% margin. Gross margins sit in the high 80s, the signature of a subscription software franchise with genuine pricing power. The predictability of the revenue base — 97% recurring — is what earns the 10% base discount rate in our valuation: these are among the most defensible cash flows in large-cap technology.

The cash conversion funds the shareholder-return engine: aggressive buybacks have steadily shrunk the share count, amplifying per-share compounding, while net cash on the balance sheet preserves full strategic optionality. There is no leverage story here and no funding risk — the debate is purely about the durability of growth, which is exactly the debate our thesis engages.

Revenue & cash-flow trajectory



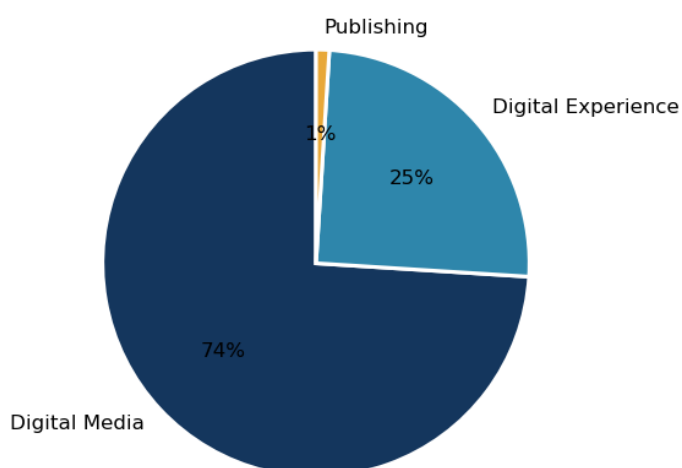
History: company filings via Yahoo Finance (fiscal years ending Nov/Dec). Projections: illustrative base-case paths at the scenario's 10% revenue CAGR with FCF at ~40% of revenue; not the model's annual series.

4 Moat & Competition

- **Workflow entrenchment.** Files, collaboration, and publishing pipelines live in Adobe formats and clouds; switching costs rise with team size. This is the system of record for professional creative work.
- **Talent network effects.** Professionals learn Adobe tools, employers hire for Adobe skills — the labor market itself reinforces the standard.
- **Commercial-safe AI.** Firefly's licensed-data training plus enterprise IP indemnification is a moat in the AI era: no frontier lab offers copyright safety at Adobe's scale.
- **Distribution at enterprise scale.** Hundreds of millions of users and deep enterprise relationships mean every AI capability Adobe ships is instantly monetizable through priced tiers.

FY2024 revenue mix (~)

FY2024 revenue mix (~)



5 Valuation — 10-year scenario DCF, Fair Value \$465

We value Adobe on a probability-weighted scenario DCF over a 10-year horizon, with a 10% base discount rate reflecting the stability of the subscription franchise, 250bp added in the bear case (12.5%) and 150bp subtracted in the bull case (8.5%), and terminal growth capped at 2.5% on normalized margins. The valuation rests on the durability of subscription cash flows — roughly 97% of revenue recurring — rather than on heroic AI monetization assumptions; our AI revenue forecasts are haircut relative to management commentary throughout.

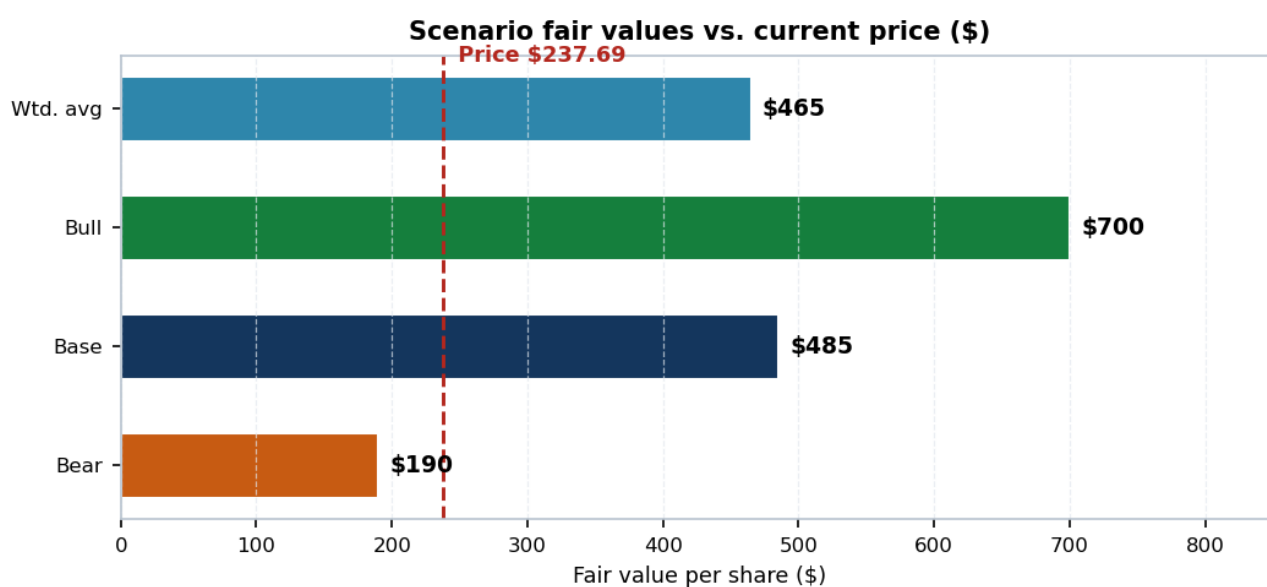
The bear case (\$190) is genuinely adverse and sits below the \$237.69 share price: AI-native competitors displace Adobe in net-new creative workflows, seat growth stalls, pricing power erodes, and the multiple compresses to reflect a structurally challenged franchise. The base case (\$485) assumes Creative Cloud and Document Cloud continue compounding at durable rates, AI tiers drive ARPU expansion, Experience Cloud scales steadily, and free-cash-flow margins remain elite. The bull case (\$700) assumes Adobe emerges as the enterprise AI content-supply-chain standard, with GenStudio and Firefly enterprise adoption accelerating growth back toward historical highs. Terminal value is held within the 70%-of-enterprise-value guardrail.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	AI-native displacement in net-new workflows; seat growth stalls; pricing power erodes; multiple compresses	+4%	30%	12.5% / 2.5%	45%	\$190.00
Base	Durable compounding; AI tiers drive ARPU; Experience Cloud scales; elite FCF margins persist	+10%	38%	10.0% / 2.5%	55%	\$485.00

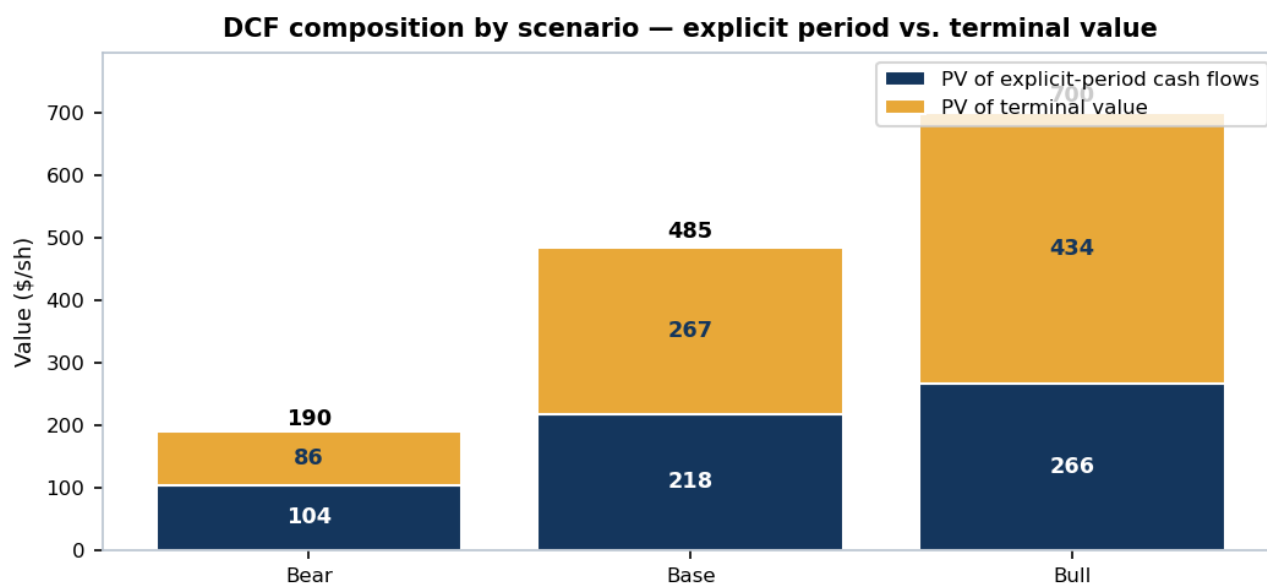
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bull	Adobe becomes the enterprise AI content-supply-chain standard; growth reaccelerates toward historical highs	+14%	42%	8.5% / 2.5%	62%	\$700.00
Wtd. avg	Probability-weighted (25/50/25) → \$465.00 target					\$465.00

Scenario fair values are calibrated so the stated 25/50/25 weights land on the \$465.00 target. Terminal-year margins are FCF margins.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **AI disruption.** AI-native creative tools could displace Adobe in net-new workflows faster than modeled — the market's central fear and our bear case.
- **Competitive intensity.** Figma, Canva, and frontier AI labs compete for creative mindshare and talent pipelines.
- **Enterprise IT budgets.** A spending downturn would slow Experience Cloud and seat expansion.
- **Pricing power limits.** Repeated price increases could accelerate churn or invite regulatory scrutiny.
- **Copyright and IP exposure.** Generative-AI training-data litigation remains an industry-wide overhang despite Adobe's licensed-data approach.
- **Multiple compression.** Software multiples can contract sharply on growth scares regardless of cash-flow durability.
- **Execution risk on AI monetization.** If AI features fail to convert to paid tiers, the growth reacceleration thesis weakens.

What would change our mind

Downgrade on: two consecutive quarters of declining Digital Media net new ARR, indicating the core franchise is eroding; a sustained drop in gross retention in Creative Cloud, signaling genuine displacement rather than cyclical softness; observable enterprise standardization on a competing AI content platform at Adobe's expense in large deals; free-cash-flow margin compression not explained by deliberate investment, indicating pricing-power loss; or a large dilutive acquisition signaling management lacks confidence in organic growth.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.